



Godrej Consumer Products

About the Company

Godrej Consumer Products Limited (GCPL) is an Indian Multinational consumer goods company based in Mumbai, India. GCPL's products include soap, hair colourants, toiletries and liquid detergents. Its brands include 'Cinthol', 'Godrej Fair Glow', 'Godrej No.1' and 'Godrej Shikakai' in soaps, 'Godrej Powder Hair Dye', 'Renew', 'ColourSoft' in hair colourants and 'Ezee' liquid detergent.

GCPL operates in the domestic and international markets in the 'personal and household care' segment. Some of the categories are soaps, hair colourants, professional hair care products, toiletries and liquid detergents.

Recent performance

Godrej Consumer Products (GCPL) has adopted a growth-oriented strategy that includes pursuing acquisitions, cross-selling, entering new categories, and expanding the Total Addressable Market (TAM) for existing products.

Additionally, it has increased reinvestments, particularly in marketing (+36% YoY in FY24). The company has made strategic moves, such as improving inventory management in RCCL and Indonesia and exiting non-core businesses, to drive consistency in its performance and improve the earnings growth trajectory.

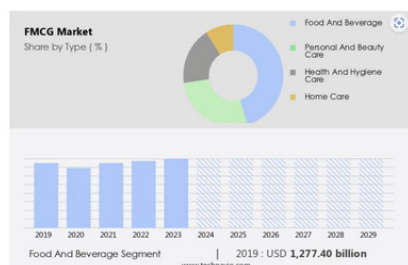
GCPL has consistently introduced innovations across its categories. In FY24, the company launched (1) Goodknight Agarbatti (Jan'24) using the RNF molecule, (2) Godrej Fab Liquid Detergent priced at INR99, and (3) Godrej Aer O car freshener. Each product is expected to generate over INR1b in revenue in FY25.

The new products together contribute ~4% additional volume growth for FY25. While the success of these innovations has varied, GCPL's robust pipeline of new products and effective go-to-market strategy provide a competitive advantage, especially in underpenetrated categories.

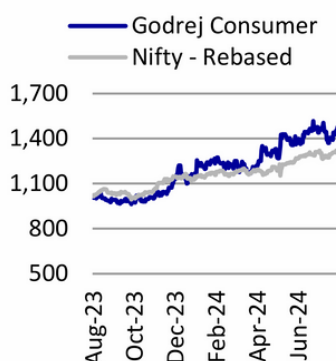


Shareholding Pattern (%)

As On	Jun-24	Mar-24	Jun-23
Promoter	63	63.2	63.2
DII	9.3	8.9	7.4
FII	22.4	22.6	23.5
Others	5.3	5.3	5.9



Stock Performance (1 year)



Aishwarya Maan Srivastava (aishm7807@kgpian.iitkgp.ac.in)

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Equity Shares Outstanding	1.023 million
Market Capitalization	₹ 1,270.93 billion (\$15.3 billion)
52-Week Range	₹979.75 - ₹1541.30
Current Share Price	₹ 1,220.75
1-Year Return	Approx. 1.58%
Free Float	37.0%

Strategies for Growth

GCPL's FY24 strategy was focused on:

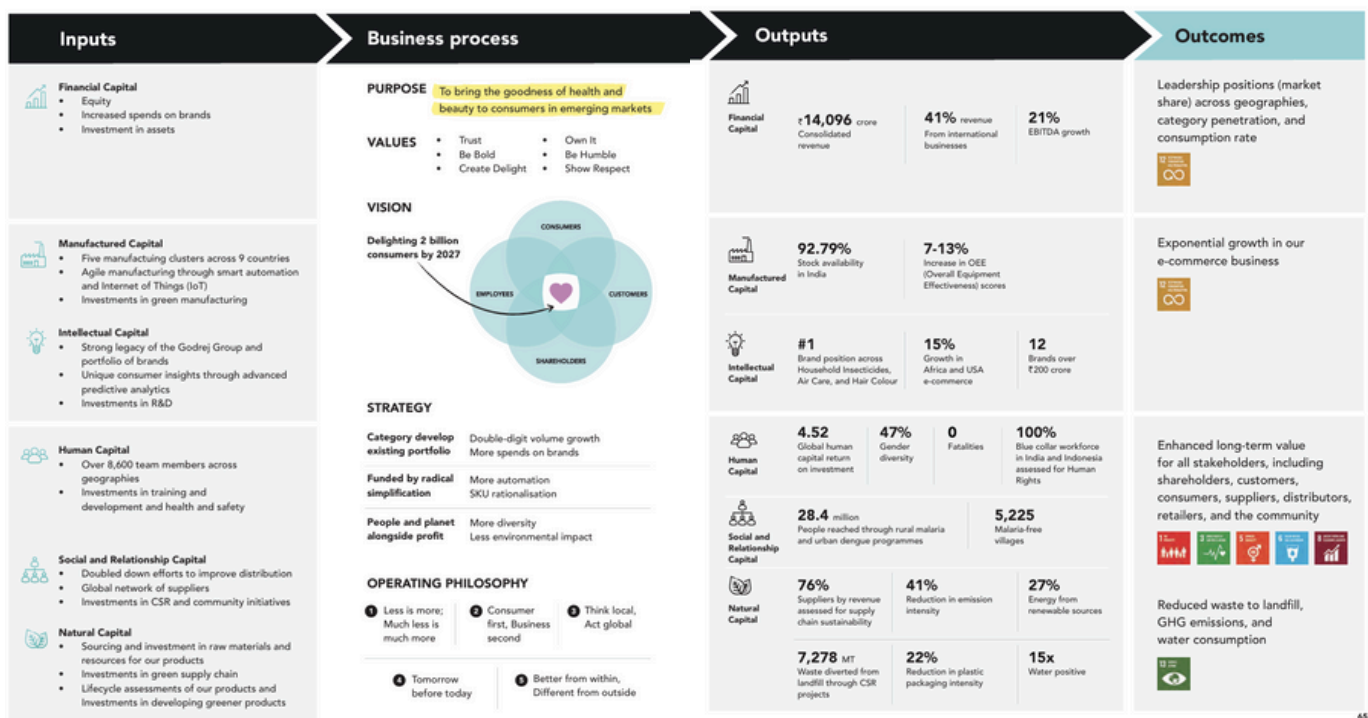
- expanding existing categories by innovating products in different sizes and at multiple price points, while broadening distribution to enhance consumer reach.
- streamlining operations through radical simplification by reducing SKUs, personnel, and processes.
- prioritizing sustainability and social responsibility alongside profitability under the principle of 'People and Planet alongside Profit'.

For FY25, GCPL has outlined a three-pronged strategy:

- premiumization, which involves launching premium innovations, entering new premium categories, and expanding premium channels.
- efficiency improvement, wherein GCPL plans to enhance efficiency by investing in manufacturing capabilities and increasing media investments.
- affordability in rural markets, wherein the company aims to drive growth in rural areas by introducing access packs to cater to price-sensitive consumers.

Earnings Call

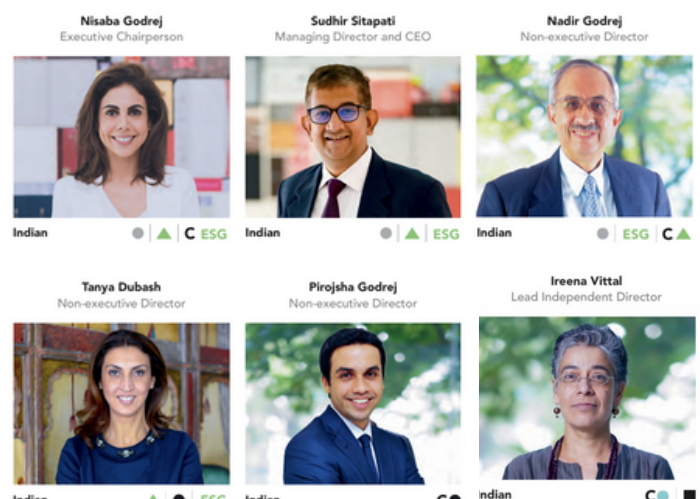
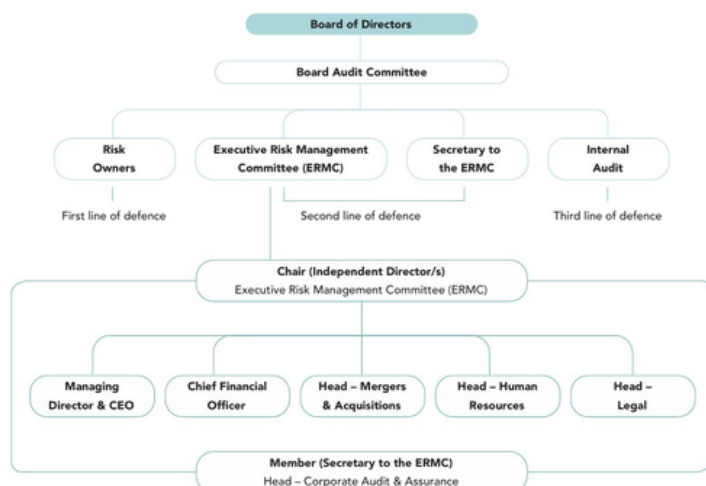
- Godrej Consumer Products Limited (GCPL) faced a tough Q3 FY'25, especially in India, where revenue grew just 4% and EBITDA fell by 21%, hit by urban consumption slowdown, high palm oil prices, and weak demand for household insecticides. However, the company showed resilience through international growth, particularly in Indonesia (6% volume, 9% revenue, 12% EBITDA growth) and steady margins in Africa.
- Despite flat overall volume growth, consolidated organic revenue rose 6%, supported by stable ad spending at 10%. EBITDA margin held at around 20%.
- There were positive signs like a recovery in insecticides, volume growth in laundry and air fresheners, and market share gains in incense sticks. Looking ahead, GCPL expects volume and revenue recovery in Q4, with margin improvement by H1 FY'26.
- Strategically, GCPL plans further price hikes in soaps to lift margins from 22.5%, and will continue investing in rural distribution and advertising. The company was also added to the Dow Jones Sustainability Index, highlighting its ESG commitment.
- Bottom line: A challenging quarter, but with strong international support and a clear recovery roadmap, GCPL remains a resilient and forward-looking player in the FMCG sector.



Godrej Consumer Products Ltd (GCPL) follows an integrated business model that combines financial, manufactured, intellectual, human, social, and natural capital to drive sustainable growth. The company's purpose is to bring health and beauty to consumers in emerging markets, with a vision to delight 2 billion consumers by 2027. Its strategy focuses on growing core categories, simplifying operations, and aligning social and environmental goals with business success.

GCPL operates across nine countries with strong manufacturing capabilities, invests in R&D and data-driven insights, and promotes a diverse and safe workforce. It leads in key categories like household insecticides and hair color and has seen significant growth in e-commerce. Environmentally, it is water positive, uses renewable energy, and promotes green sourcing.

Management & Administration



Historical Financial Statement

Years	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Income Statement										
Sales	₹ 8,273.2	₹ 8,423.9	₹ 9,267.9	₹ 9,847.4	₹ 10,314.3	₹ 9,910.8	₹ 11,028.6	₹ 12,276.5	₹ 13,316.0	₹ 14,096.1
Sales Growth	-	1.82%	10.02%	6.25%	4.74%	-3.91%	11.28%	11.31%	8.47%	5.86%
COGS	₹ 4,952.4	₹ 5,157.6	₹ 5,512.9	₹ 5,751.6	₹ 6,071.8	₹ 5,777.5	₹ 6,556.2	₹ 7,743.0	₹ 8,407.8	₹ 8,140.9
COGS % Sales	59.86%	61.23%	59.48%	58.41%	58.87%	58.29%	59.45%	63.07%	63.14%	57.75%
Gross Profit	₹ 3,320.79	₹ 3,266.29	₹ 3,755.06	₹ 4,095.80	₹ 4,242.51	₹ 4,133.32	₹ 4,472.38	₹ 4,533.48	₹ 4,908.16	₹ 5,955.19
Gross Margins	40.14%	38.77%	40.52%	41.59%	41.13%	41.71%	40.55%	36.93%	36.86%	42.25%
Selling & General Expenses	₹ 1,941.84	₹ 1,608.91	₹ 1,848.35	₹ 2,011.40	₹ 2,110.94	₹ 1,979.57	₹ 2,073.12	₹ 2,124.30	₹ 2,464.96	₹ 2,997.87
S&G Exp % Sales	23.47%	19.10%	19.94%	20.43%	20.47%	19.97%	18.80%	17.30%	18.51%	21.27%
EBITDA	₹ 1,378.95	₹ 1,657.38	₹ 1,906.71	₹ 2,084.40	₹ 2,131.57	₹ 2,153.75	₹ 2,399.26	₹ 2,409.18	₹ 2,443.20	₹ 2,957.32
EBITDA Margins	16.67%	19.67%	20.57%	21.17%	20.67%	21.73%	21.75%	19.62%	18.35%	20.98%
Depreciation	₹ 90.78	₹ 100.63	₹ 141.57	₹ 155.68	₹ 169.98	₹ 197.28	₹ 203.85	₹ 209.93	₹ 236.29	₹ 240.96
Depreciation%Sales	1.10%	1.19%	1.53%	1.58%	1.65%	1.99%	1.85%	1.71%	1.77%	1.71%
EBIT	₹ 1,288.17	₹ 1,556.75	₹ 1,765.14	₹ 1,928.72	₹ 1,961.59	₹ 1,956.47	₹ 2,195.41	₹ 2,199.25	₹ 2,206.91	₹ 2,716.36
EBIT Margin	15.57%	18.48%	19.05%	19.59%	19.02%	19.74%	19.91%	17.91%	16.57%	19.27%
Interest	₹ 112.46	₹ 128.04	₹ 154.19	₹ 173.12	₹ 238.21	₹ 228.13	₹ 137.65	₹ 122.26	₹ 188.48	₹ 309.57
Interest % Sales	1.36%	1.52%	1.66%	1.76%	2.31%	2.30%	1.25%	1.00%	1.42%	2.20%
Earnings Before Tax	₹ 1,175.71	₹ 1,428.71	₹ 1,610.95	₹ 1,755.60	₹ 1,723.38	₹ 1,728.34	₹ 2,057.8	₹ 2,077.0	₹ 2,018.4	₹ 2,406.8
EBT % Sales	14.21%	16.96%	17.38%	17.83%	16.71%	17.44%	18.66%	16.92%	15.16%	17.07%
Tax	₹ 272.3	₹ 336.1	₹ 379.2	₹ 404.7	(₹ 256.2)	₹ 263.8	₹ 359.5	₹ 371.9	₹ 430.3	₹ 758.8
Effective Tax Rate	23.16%	23.52%	23.54%	23.05%	-14.87%	15.26%	17.47%	17.90%	21.32%	31.53%
Net Profit	₹ 903.4	₹ 1,092.7	₹ 1,231.8	₹ 1,350.9	₹ 1,979.6	₹ 1,464.5	₹ 1,698.2	₹ 1,705.1	₹ 1,588.2	₹ 1,648.0
Net Margins	10.92%	12.97%	13.29%	13.72%	19.19%	14.78%	15.40%	13.89%	11.93%	11.69%
No of Equity Shares	102.14	102.16	102.18	102.2	102.22	102.23	102.25	102.26	102.27	102.28
Earnings per Share	₹ 8.84	₹ 10.70	₹ 12.06	₹ 13.22	₹ 19.37	₹ 14.33	₹ 16.61	₹ 16.67	₹ 15.53	₹ 16.11
EPS Growth %		20.92%	12.71%	9.65%	46.51%	-26.03%	15.93%	0.40%	-6.87%	3.76%
Dividend per Share	₹ 1.8	₹ 1.9	₹ 5.0	₹ 6.7	₹ 10.0	₹ 8.0	-	-	-	-
Dividend payout ratio	20.72%	17.92%	41.48%	50.43%	51.64%	55.84%	0.00%	0.00%	0.00%	0.00%
Retained Earnings	79.28%	82.08%	58.52%	49.57%	48.36%	44.16%	100.00%	100.00%	100.00%	100.00%
Balance Sheet										
Equity Share Capital	₹ 34.0	₹ 34.1	₹ 34.1	₹ 68.1	₹ 102.2	₹ 102.2	₹ 102.3	₹ 102.3	₹ 102.3	₹ 102.3
Reserves	₹ 4,276.7	₹ 4,232.9	₹ 5,267.9	₹ 6,190.2	₹ 7,164.7	₹ 7,796.1	₹ 9,336.7	₹ 11,453.7	₹ 13,692.0	₹ 12,496.3
Borrowings	₹ 2,717.2	₹ 2,891.1	₹ 4,000.9	₹ 3,507.6	₹ 3,382.1	₹ 3,575.0	₹ 1,864.0	₹ 1,704.3	₹ 1,129.6	₹ 3,222.2
Other Liabilities	₹ 2,097.2	₹ 2,520.7	₹ 3,637.4	₹ 4,097.9	₹ 3,444.6	₹ 3,407.0	₹ 2,940.9	₹ 2,821.9	₹ 2,513.5	₹ 2,571.3
Total Liabilities	₹ 9,125.0	₹ 9,678.7	₹ 12,940.3	₹ 13,863.8	₹ 14,093.6	₹ 14,880.3	₹ 14,243.8	₹ 16,082.1	₹ 17,437.3	₹ 18,392.1
Fixed Assets Net Block	₹ 5,551.0	₹ 5,931.4	₹ 8,082.9	₹ 8,315.0	₹ 8,670.3	₹ 9,231.4	₹ 8,904.8	₹ 9,219.3	₹ 9,933.7	₹ 10,440.2
Capital Work in Progress	₹ 224.6	₹ 43.7	₹ 97.4	₹ 83.9	₹ 52.1	₹ 57.0	₹ 57.4	₹ 116.4	₹ 45.4	₹ 83.4
Investments	₹ 185.7	₹ 189.5	₹ 933.5	₹ 997.3	₹ 516.0	₹ 672.0	₹ 679.1	₹ 1,015.4	₹ 3,029.0	₹ 3,503.7
Other Assets	₹ 393.3	₹ 335.4	₹ 472.5	₹ 684.2	₹ 1,109.0	₹ 1,289.3	₹ 1,209.5	₹ 1,377.0	₹ 1,256.1	₹ 1,011.6
Total Non Current Assets	₹ 6,354.5	₹ 6,500.0	₹ 9,586.4	₹ 10,080.3	₹ 10,347.3	₹ 11,249.8	₹ 10,850.8	₹ 11,728.2	₹ 14,264.1	₹ 15,038.9
Receivables	₹ 804.6	₹ 1,118.0	₹ 1,028.7	₹ 1,245.5	₹ 1,292.9	₹ 1,157.3	₹ 1,004.5	₹ 1,116.3	₹ 1,245.3	₹ 1,535.4
Inventory	₹ 1,071.7	₹ 1,307.0	₹ 1,412.5	₹ 1,577.7	₹ 1,558.6	₹ 1,703.1	₹ 1,716.3	₹ 2,129.9	₹ 1,537.2	₹ 1,270.9
Cash & Bank	₹ 894.2	₹ 753.8	₹ 912.7	₹ 960.2	₹ 894.7	₹ 770.2	₹ 672.2	₹ 1,107.8	₹ 390.7	₹ 546.9
Total Current Assets	₹ 2,770.5	₹ 3,178.8	₹ 3,353.9	₹ 3,783.4	₹ 3,746.2	₹ 3,630.5	₹ 3,393.0	₹ 4,353.9	₹ 3,173.2	₹ 3,353.2
Total Assets	₹ 9,125.0	₹ 9,678.7	₹ 12,940.3	₹ 13,863.8	₹ 14,093.6	₹ 14,880.3	₹ 14,243.8	₹ 16,082.1	₹ 17,437.3	₹ 18,392.1
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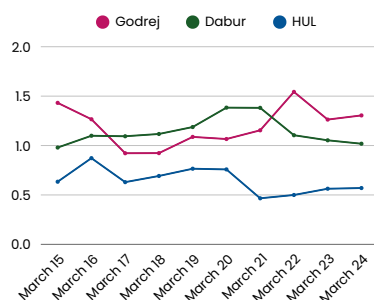
Godrej Consumer Products Ltd. has shown consistent revenue growth over the last decade, with sales rising from ₹8,273.2 Cr in FY15 to ₹14,096.1 Cr in FY24, marking a CAGR of ~6%. While growth dipped in FY20 due to the pandemic, the company bounced back with strong double-digit growth through FY23, moderating to 5.86% in FY24.

Cost of Goods Sold (COGS) remained between 58–63% of sales, with gross margins peaking at 41.71% in FY20 and slightly declining to 42.25% in FY24. Operating expenses were well-managed, and EBITDA margins stayed strong around 20%, though they dropped from the peak in FY21.

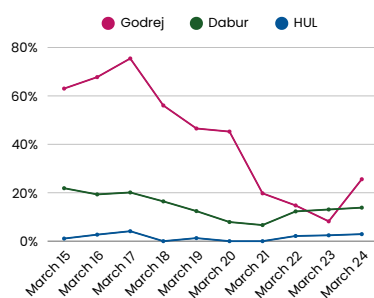
Net profit grew from ₹903 Cr in FY15 to ₹1,648 Cr in FY24, but net margins fell from 19.2% in FY19 to 11.7% in FY24, partly due to a higher effective tax rate. EPS improved to ₹16.11 in FY24, despite no dividends being paid since FY21, suggesting reinvestment priorities.

GCPL reduced borrowings significantly and built up reserves, highlighting financial prudence. Investments increased notably, while cash reserves dipped—likely due to capital allocation decisions.

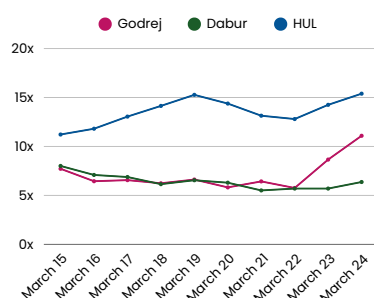
Ratio Analysis



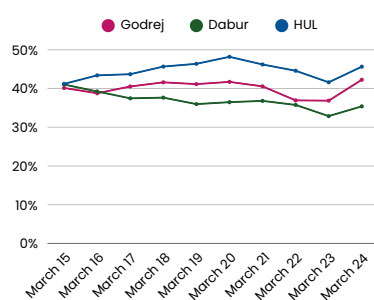
Current Ratio



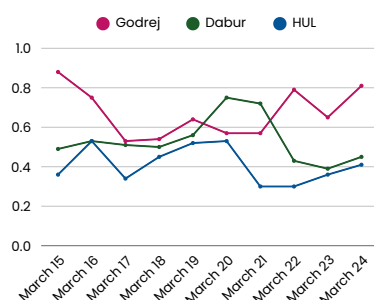
Debt to Equity



Inventory Turnover



Gross Profit Margin



Quick Ratio

Liquidity Position

GCPL's liquidity has remained stable over the years. The current ratio averaged 1.20, indicating adequate short-term asset coverage for liabilities. The ratio peaked at 1.54 in FY22, with FY24 settling at 1.30—above the 1.0 safety threshold. The quick ratio and cash ratio, however, remained below 1.0 throughout, averaging 0.67 and 0.27 respectively, suggesting limited high-liquidity buffers, though still manageable given the company's strong operations.

Solvency Analysis

The company's leverage has significantly declined over the decade, reflecting stronger balance sheet health. The debt-to-equity ratio dropped from over 75% in FY17 to just 25.6% in FY24, highlighting a shift towards equity-financed growth. Similarly, both debt-to-asset and debt-to-capital ratios have fallen consistently, showcasing reduced dependency on external borrowings and improved financial stability.

Efficiency & Activity

GCPL has maintained operational efficiency. Inventory turnover saw improvement, climbing to 11.09x in FY24 from 5.82x in FY20, implying better inventory management. The fixed asset turnover ratio remained steady around 1.3x, reflecting consistent asset utilization. Accounts receivable turnover was strong, averaging 9.3x, indicating timely collections.

Profitability Metrics

GCPL sustained healthy profitability. Gross margins averaged 40%, with FY24 posting a strong 42.25%. The net profit margin averaged 13.8%, though it declined in recent years to 11.7% in FY24 due to tax and cost pressures. Operating margins—EBITDA, EBIT, and EBT—were all steady, with mean values above 18%, indicating effective cost control and stable core profitability. Return on invested capital (ROIC) remained strong at an average of 22.2%, peaking above 25% in FY16.

Growth Trends

Growth has been moderate but consistent. Sales grew at an average rate of 6.2%, while EBITDA and EBIT grew at 9.1% and 8.7% respectively. Net profit growth was more volatile, with a notable spike in FY19 and contraction in FY20, but averaged 8.6% over the period. Dividend growth ceased after FY20, reflecting a focus on reinvestment.

Cash Conversion Cycle (CCC)

The cash conversion cycle improved from 105 days in early years to 73 days in FY24, driven by better inventory turnover and receivables management. Payable days remain unreported, but the shrinking CCC indicates enhanced working capital efficiency.

Conclusion

Overall, GCPL shows a solid financial profile with improving liquidity, declining leverage, efficient operations, and resilient profitability. The company appears to be on a sound footing with a strategic focus on internal funding, reinvestment, and operational optimization.

DCF Valuation

Calculation of PV of FCFF	Mar-24	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29
EBIT	2,716.36	2,656.49	2,779.94	2,903.40	3,026.86	3,150.31
Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
NOPAT	2,037.27	1,992.37	2,084.96	2,177.55	2,270.14	2,362.74
Add: Depreciation	240.96	227.87	238.09	248.30	258.52	268.74
Less: Addition in WC	187.23	17.72	152.49	152.49	152.49	152.49
Less: Capital Expenditure	211.44	212.55	222.08	231.61	241.14	250.67
Free Cash Flow to Firm	1,879.55	1,989.97	1,948.48	2,041.76	2,135.04	2,228.32
Discounting Factor	1.00	0.94	0.83	0.73	0.64	0.57
PV of FCFF	1,879.55	1,868.74	1,613.63	1,491.14	1,375.08	1,265.62

Calculation of Terminal Value	
FCFF (n+1)	2,350.87
WACC	13.39%
Terminal Growth Rate	5.50%
Terminal Value	29776.87

Calculation of Enterprise Value	
PV of FCFF	7,614.22
PV of Terminal Value	16912.47
Value of Operating Asset	24,526.69
Add: Cash	546.94
Less: Debt	3155
Value of Equity	21,918.63
No. of Shares	102.29
Value per Share	214.3

Sensitivity Analysis				
	WACC			
	12.00%	13.39%	15.00%	18.00%
Terminal Growth Rate				
2.00%	21953.50	19331.97	17013.93	13932.75
2.50%	22696.51	19869.73	17399.60	14157.80
3.00%	23522.08	20459.23	17817.39	14397.85
3.50%	24444.77	21108.29	18271.52	14654.46
4.00%	25482.80	21826.45	18766.94	14929.40
4.50%	26659.23	22625.34	19309.54	15224.70
5.00%	28003.73	23519.39	19906.39	15542.72
5.50%	29555.06	24526.69	20566.08	15886.18
6.00%	31364.96	25670.20	21299.06	16258.26
6.50%	33503.93	26979.56	22118.27	16662.70
7.00%	36070.69	28493.67	23039.89	17103.90
7.50%	39207.85	30264.63	24084.39	17587.13
8.00%	43129.29	32363.84	25278.10	18118.67
8.50%	48171.14	34891.91	26655.46	18706.17
9.00%	54893.61	37995.20	28262.38	19358.59
9.50%	64305.08	41895.23	30161.47	20088.52
10.00%	78422.27	46944.03	32440.38	20909.29

- The DCF valuation of Godrej Consumer Products Ltd estimates the intrinsic value of the company based on its future free cash flows. The forecast spans FY24 to FY29, with Free Cash Flow to Firm (FCFF) projected to grow from ₹1,879.55 crore in FY24 to ₹2,228.32 crore in FY29. These projections are based on an EBIT forecast growing steadily and a consistent tax rate of 25%. Depreciation and capital expenditure (CapEx) are also projected to rise in line with revenue, maintaining a CapEx-to-sales ratio of 1.5% and depreciation averaging 1.61% of sales.
- The Net Operating Profit After Tax (NOPAT) begins at ₹2,037.27 crore and increases steadily, reflecting operational efficiency. Adjustments for working capital and CapEx result in FCFF values that are then discounted using a Weighted Average Cost of Capital (WACC) of 13.39%.
- The present value (PV) of forecasted FCFF over the explicit period (FY24–FY29) totals ₹7,614.22 crore. The terminal value, estimated with a 5.5% perpetual growth rate, is ₹29,776.87 crore, and its present value is ₹16,912.47 crore. This brings the total enterprise value to ₹24,526.69 crore.
- After adjusting for cash (₹546.94 crore) and debt (₹3,155 crore), the equity value is estimated at ₹21,918.63 crore. With 102.29 crore shares outstanding, the intrinsic value per share is approximately ₹214.30.
- A sensitivity analysis highlights how changes in WACC and terminal growth rates impact the enterprise value. For instance, with a lower WACC or higher growth rate, the value per share increases significantly, indicating a high sensitivity to these assumptions.

CCF Valuation

Calculation of PV of CCF	Mar-24	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29
EBIT	2,716.36	2,656.49	2,779.94	2,903.40	3,026.86	3,150.31
Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
NOPAT	2,037.27	1,992.37	2,084.96	2,177.55	2,270.14	2,362.74
Add: Depreciation	240.96	227.87	238.09	248.30	258.52	268.74
Less: Addition in WC	187.23	17.72	152.49	152.49	152.49	152.49
Less: Capital Expenditure	211.44	212.55	222.08	231.61	241.14	250.67
Free Cash Flow to Firm	1,879.55	1,989.97	1,948.48	2,041.76	2,135.04	2,228.32
Interest Expenses	309.57	237.60	248.25	258.91	269.56	280.22
Interest Shield	77.39	59.40	62.06	64.73	67.39	70.05
Capital Cash Flow to Firm	1,956.95	2,049.37	2,010.54	2,106.49	2,202.43	2,298.37
Discounting Factor	1.00	0.94	0.83	0.73	0.64	0.57
PV of CCF	1,956.95	1,924.52	1,665.03	1,538.42	1,418.48	1,305.41

Calculation of Terminal Value

CCF (n+1)	2,424.78
WACC	13.39%
Terminal Growth Rate	5.50%

Terminal Value	30713.00
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Calculation of Enterprise Value

PV of CCF	7,851.86
PV of Terminal Value	17444.17
Value of Operating Asset	25,296.03

Add: Cash	546.94
Less: Debt	3155
Value of Equity	22,687.97
No. of Shares	102.29
Value per Share	221.8

Sensitivity Analysis		WACC			
		12.00%	13.39%	15.00%	18.00%
2.00%	22641.96	19938.00	17547.07	14368.99	
2.50%	23408.32	20492.67	17944.86	14601.12	
3.00%	24259.85	21100.69	18375.79	14848.72	
3.50%	25211.55	21770.16	18844.20	15113.39	
4.00%	26282.21	22510.90	19355.19	15396.97	
4.50%	27495.63	23334.90	19914.84	15701.56	
5.00%	28882.39	24257.06	20530.46	16029.58	
5.50%	30482.50	25296.03	21210.88	16383.84	
6.00%	32349.29	26475.49	21966.91	16767.62	
6.50%	34555.51	27826.02	22811.88	17184.77	
7.00%	37202.96	29387.72	23762.47	17639.84	
7.50%	40438.74	31214.36	24839.80	18138.26	
8.00%	44483.47	33379.57	26071.04	18686.52	
8.50%	49683.83	35987.11	27491.71	19292.48	
9.00%	56617.64	39187.96	29149.15	19965.78	
9.50%	66324.98	43210.60	31107.94	20718.29	
10.00%	80885.99	48418.12	33458.49	21564.86	

- The Capital Cash Flow (CCF) valuation of Godrej Consumer Products Ltd provides a comprehensive picture of the company's intrinsic value by including the interest tax shield within its cash flow projections. From FY24 to FY29, the company's EBIT is projected to increase from ₹2,716.36 crore to ₹3,150.31 crore, leading to a steady rise in Net Operating Profit After Tax (NOPAT).
- After adjusting for depreciation, capital expenditure, and working capital requirements, and incorporating the interest tax shield, the Capital Cash Flow to the firm increases from ₹1,956.95 crore in FY24 to ₹2,298.37 crore in FY29. These cash flows are discounted at a Weighted Average Cost of Capital (WACC) of 13.39%, resulting in a present value of ₹7,851.86 crore.
- The terminal value, calculated using a 5.5% growth rate, is ₹30,713 crore, with a present value of ₹17,444.17 crore. Adding both gives a total enterprise value of ₹25,296.03 crore. After accounting for cash reserves of ₹546.94 crore and debt of ₹3,155 crore, the equity value of the firm stands at ₹22,687.97 crore. Based on 102.29 crore shares outstanding, the intrinsic value per share is estimated at ₹221.80.
- The sensitivity analysis shows that this valuation is responsive to changes in both WACC and terminal growth, reaffirming the robustness of the company's cash flow-generating capability and financial health.

ECF Valuation

Calculation of PV of FCFF	Mar-24	Mar/25E	Mar/26E	Mar/27E	Mar/28E	Mar/29E
EBIT	2,716.36	2,656.49	2,779.94	2,903.40	3,026.86	3,150.31
Interest Payments	309.57	237.60	248.25	258.91	269.56	280.22
Pre Tax Profit	2,406.79	2,418.89	2,531.69	2,644.49	2,757.30	2,870.10
Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
Net Income	1,805.09	1,814.17	1,898.77	1,983.37	2,067.97	2,152.57
Add: Depreciation	240.96	227.87	238.09	248.30	258.52	268.74
Less: Addition in WC	187.23	17.72	152.49	152.49	152.49	152.49
Less: Capital Expenditure	211.44	212.55	222.08	231.61	241.14	250.67
Total Debt	3,222.20	3,316.91	3,465.63	3,614.36	3,763.08	3,911.81
Net Borrowing	-	94.71	148.73	148.73	148.73	148.73
Free Cash Flow to Equity	1,647.38	1,906.47	1,911.01	1,996.30	2,081.59	2,166.88
Discounting Factor	1.00	0.94	0.83	0.73	0.64	0.57
PV of FCFE	1,647.38	1,790.06	1,581.90	1,456.86	1,339.26	1,229.08

Calculation of Terminal Value

FCFE (n+1)	2,286.06
Cost of Equity	13.43%
Terminal Growth Rate	5.50%

Terminal Value	28832.73
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Calculation of Enterprise Value

PV of FCFF	7,397.18
PV of Terminal Value	16354.33
Value of Operating Asset	23,751.50

Add: Cash	546.94
Value of Equity	24,298.44
No. of Shares	102.29
Value per Share	237.5

Sensitivity Analysis

	WACC			
	12.00%	13.43%	15.00%	18.00%
2.00%	21346.69	18743.04	16542.29	13545.14
2.50%	22069.22	19262.13	16917.32	13763.98
3.00%	22872.02	19830.99	17323.60	13997.42
3.50%	23769.28	20457.15	17765.21	14246.95
4.00%	24778.69	21149.71	18246.97	14514.31
4.50%	25922.68	21919.84	18774.60	14801.47
5.00%	27230.11	22781.34	19355.00	15110.72
5.50%	28738.68	23751.50	19996.50	15444.71
6.00%	30498.67	24852.26	20709.27	15806.53
6.50%	32578.67	26111.88	21505.90	16199.82
7.00%	35074.66	27567.44	22402.11	16628.86
7.50%	38125.32	29268.51	23417.81	17098.76
8.00%	41938.65	31282.93	24578.61	17615.65
8.50%	46841.49	33706.06	25918.00	18186.95
9.00%	53378.62	36676.34	27480.61	18821.73
9.50%	62530.60	40402.66	29327.34	19531.19
10.00%	76258.57	45215.79	31543.42	20329.33

- The Equity Cash Flow (ECF) valuation for Godrej Consumer Products Ltd provides a forward-looking measure of shareholder value by focusing directly on the cash available to equity holders after servicing debt. Between FY24 and FY29, GCPL's Free Cash Flow to Equity (FCFE) is projected to grow from ₹1,647.38 crore to ₹2,166.88 crore, driven by consistent growth in net income, stable depreciation and capital expenditure, and modest increases in net borrowing.
- The discounting of these cash flows at a cost of equity of 13.43% results in a present value of ₹7,397.18 crore for projected FCFE. Adding the present value of the terminal value, based on a 5.5% perpetual growth rate, the total equity value sums to ₹24,298.44 crore. With 102.29 crore shares outstanding, the implied intrinsic value per share stands at ₹237.50.
- Sensitivity analysis shows the valuation is highly responsive to changes in growth and discount rates, with potential equity values ranging from ₹195 to over ₹270 per share depending on market conditions. This valuation suggests GCPL offers attractive long-term value for shareholders, supported by healthy free cash generation and disciplined capital allocation.

DuPont Analysis

Return on Equity (ROE)							
	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Net Profit	1,350.9	1,979.6	1,464.5	1,698.2	1,705.1	1,588.2	1,648.0
Average Shareholder Equity	5,780.1	6,762.6	7,582.6	8,668.6	10,497.4	12,675.1	13,196.4
Return on Equity	23.37%	29.27%	19.31%	19.59%	16.24%	12.53%	12.49%

ROE - Dupont Equation							
	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Net Profit	1,350.9	1,979.6	1,464.5	1,698.2	1,705.1	1,588.2	1,648.0
Revenue	9,847.4	10,314.3	9,910.8	11,028.6	12,276.5	13,316.0	14,096.1
Net Profit Margin (A)	13.72%	19.19%	14.78%	15.40%	13.89%	11.93%	11.69%
Revenue	9,847.4	10,314.3	9,910.8	11,028.6	12,276.5	13,316.0	14,096.1
Average Total Asset	13,402.0	13,978.7	14,486.9	14,562.0	15,163.0	16,759.7	17,914.7
Asset Turnover Ratio (B)	0.7x	0.7x	0.7x	0.8x	0.8x	0.8x	0.8x
Average Total Asset	13,402.0	13,978.7	14,486.9	14,562.0	15,163.0	16,759.7	17,914.7
Average Shareholder Equity	5,780.1	6,762.6	7,582.6	8,668.6	10,497.4	12,675.1	13,196.4
Equity Multiplier (C)	2.32x	2.07x	1.91x	1.68x	1.44x	1.32x	1.36x
Return on Equity (A*B*C)	23.37%	29.27%	19.31%	19.59%	16.24%	12.53%	12.49%

Return on Asset							
	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Net Profit	1,350.9	1,979.6	1,464.5	1,698.2	1,705.1	1,588.2	1,648.0
Average Total Asset	13,402.0	13,978.7	14,486.9	14,562.0	15,163.0	16,759.7	17,914.7
Return on Asset	10.08%	14.16%	10.11%	11.66%	11.25%	9.48%	9.20%

ROA - Dupont Equation							
	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Net Profit	1,350.9	1,979.6	1,464.5	1,698.2	1,705.1	1,588.2	1,648.0
Revenue	9,847.4	10,314.3	9,910.8	11,028.6	12,276.5	13,316.0	14,096.1
Net Profit Margin (A)	13.72%	19.19%	14.78%	15.40%	13.89%	11.93%	11.69%
Revenue	9,847.4	10,314.3	9,910.8	11,028.6	12,276.5	13,316.0	14,096.1
Average Total Asset	13,402.0	13,978.7	14,486.9	14,562.0	15,163.0	16,759.7	17,914.7
Asset Turnover Ratio (B)	0.7x	0.7x	0.7x	0.8x	0.8x	0.8x	0.8x
Return on Asset (A*B)	10.08%	14.16%	10.11%	11.66%	11.25%	9.48%	9.20%

The **DuPont analysis** of Godrej Consumer Products offers a detailed view of the company's financial efficiency and performance over the years from FY2018 to FY2024. The Return on Equity (ROE) saw a peak of 29.27% in FY2019 but declined steadily to 12.49% in FY2024. This drop was driven by a contraction in all three components of the DuPont formula: net profit margin, asset turnover, and equity multiplier. While revenue has consistently increased, net profit margins fell from 19.19% in FY2019 to 11.69% in FY2024, indicating rising costs or reduced pricing power. The asset turnover ratio has remained stable at around 0.7x to 0.8x, showing consistent efficiency in asset usage. However, the equity multiplier decreased from 2.32x to 1.36x, reflecting a reduced reliance on financial leverage. Similarly, Return on Assets (ROA) also fell from its high of 14.16% in FY2019 to 9.20% in FY2024. This trend suggests that although the company continues to grow its top line, profitability and capital efficiency have weakened, possibly due to structural changes in operations, market conditions, or strategic investments.

NOTES

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